Strait of Hormuz Crisis

Oil Supply Disruption Briefing — **March 25, 2026 (Day 26)** — Last refreshed: Mar 25, 7:00 AM MDT — Brent breaks below $100 to $99.61 (−4.67%); WTI $88.37; ceasefire speculation as 15-point US plan in Iranian hands; potential talks in Pakistan Fri Mar 27; Iran still denies direct talks & keeps striking; Mar 28 is **BOTH** Trump deadline & well-damage threshold (**3 DAYS AWAY**); US gas $3.983/gal, diesel $5.366/gal (AAA, Mar 25)

Data freshness: LIVE Daily market price — verify before trading POLICY Government action — check for updates STRUCTURAL Infrastructure / historical — stable

-12.0 mb/d net global oil shortage (temporarily improved by GL 134 waiver; **reverts to ~-13.2 after Apr 11**). The US-Israel war on Iran (Feb 28) triggered the largest oil supply disruption in the history of the global oil market.[7] Hormuz took ~20 mb/d offline (~20% of global supply).[1] Iran is running a **selective blockade** — blocking Western-allied ships while granting permission-based passage to Indian, Turkish, Pakistani, and China-bound vessels.[5] Brent LIVE at **$99.61/bbl (Mar 25) — first close below $100 since war began**; WTI $88.37/bbl; both down ~4.7% on ceasefire optimism as 15-point US plan reaches Iran & talks possible by Fri Mar 27.[100] Gasoline LIVE $3.983/gal national avg (AAA, Mar 25).[103] Diesel LIVE $5.366/gal national avg (AAA, Mar 25).[103] **Trump (Mar 23) postponed strikes on Iranian power plants for 5 days**, citing "very good and productive conversations" and "major points of agreement."[83] **Iran categorically denied any negotiations took place**; Tehran said Trump's pause is tactical — buying time to plan military action; Iran vowed to **completely close Hormuz** if power plants are struck.[84] IEA's record 400M bbl SPR release delivering.[9] GL 134 Russian oil waiver expires Apr 11 with no extension signals.[3] **QatarEnergy CEO (Mar 19): Ras Laffan damage = 12.8M mt/yr (17% of Qatar's LNG) offline for 3-5 YEARS**; ~$20B/yr lost revenue.[60] TTF European gas LIVE EUR 61.90/MWh (+94% from pre-crisis).[67] **Goldman Sachs (Mar 23): "largest-ever oil supply shock on record"** — surpasses 1973 OPEC embargo; raised 2026 Brent avg to $85/bbl (from $77).[85] Mar 28 well-damage threshold (permanent water coning risk) is now **5 days away**. Al Jazeera analysts (Mar 19): $200/bbl "no longer far-fetched."[77]

-20.0 mb/d
HORMUZ TRANSIT LOST

+8.05 mb/d
MITIGATIONS (THRU APR 11)

-12.0 mb/d
NET SHORTAGE

$99.61
BRENT CRUDE (/BBL) LIVE
Mar 25 — −4.67%; WTI $88.37; first below $100 since war began; ceasefire talks

$5.37
US DIESEL (/GAL) LIVE

Mar 28
4-week shut-in threshold
Permanent well damage risk (water coning)

Apr 11
GL 134 expires
−2 mb/d cliff (no extension signals)

~Jul 10
US SPR exhausted
172M bbl at 1.43 mb/d

Timeline of Key Events

Feb 28 US/Israel launch strikes on Iran; Supreme Leader Ali Khamenei killed; "major combat operations" declared.[58]

Mar 1–2 Iran retaliates with drone/missile strikes on Saudi, Qatar, UAE, Oman energy infrastructure; QatarEnergy declares force majeure on LNG at Ras Laffan; European gas benchmark +45% in one session.[33]

Mar 3 Iraq shuts Rumaila field (storage full); Assembly of Experts convenes for succession — combined Gulf production cuts reach ~5.9 mb/d.[44]

Mar 5 IRGC formally announces Strait of Hormuz closure to US/Israel/Western-allied ships; major P&I clubs cancel war risk cover; Maersk, CMA CGM, Hapag-Lloyd suspend transits.[14] [32]

Mar 6 IMO confirms 4 seafarers killed; vessel *Athe Nova* (Honduran-flagged) set ablaze near UAE; first Qatar LNG cargo (Al Ghashamiya) loaded at Ras Laffan since shutdown.[33]

Mar 7 Kuwait declares force majeure; combined Gulf crude production offline reaches ~6.7 mb/d; **first VLCC loading at Jask terminal since Oct 2024** (~2M bbl — only the 5th Jask loading in 5 years).[44] [10]

Mar 9 Brent surges past $100/bbl for first time; **Mojtaba Khamenei elected Supreme Leader** (IRGC-backed); Fujairah terminal struck for first time.[58]

Mar 11 Saudi activates full East-West Pipeline (Yanbu throughput 2.5 mb/d); IEA authorizes record 400M bbl emergency release;[1] UN Security Council Resolution 2817 passes 13-0-2 (China/Russia abstain).[2]

Mar 12 SPR physical releases begin; OFAC issues GL 134, authorizing delivery of 186M bbl Russian crude already loaded as of Mar 12; Brent holds above $100.[3] [13]

Mar 13 Turkish vessel granted first non-Iranian passage; Treasury Sec. Bessent confirms US allowing Iranian tankers through.[5] [13]

Mar 14 US strikes 90+ military targets on Kharg Island (oil infrastructure deliberately spared); Fujairah struck again (2nd time); France pledges 2 frigates "purely defensive."[30] [38]

Mar 15–16 Pakistani tanker *KARACHI* transits with AIS active; Saudi tanker carrying 1M bbl for India allowed through; Iran resumes loading at Jask terminal south of Hormuz; **Mojtaba Khamenei issues first public statement**: "Strait must be used as leverage" — rejects ceasefire from 2 intermediary states.[5] [10] [19]

Mar 17 Ali Larijani (Security Chief) + Gholamreza Soleimani (Basij Commander) killed by Israeli strikes; 40+ Iranian officials killed in total; Germany, Japan, Italy, Romania, Spain, UK, Australia formally decline escort coalition; Trump threatens NATO exit over refusal to secure Hormuz.[16] [15]

Mar 18 AM Iran FM Araghchi proposes new regional Hormuz Strait protocol post-war; France and Italy contact Iran directly about bilateral ship passage; Iran "open to countries who want to talk about safe passage"; vessel traffic through Hormuz nearly doubles — 8 non-Iranian vessels detected (Windward AI).[19] [59]

Mar 18 PM Brent spikes +6.1% to $109.75 intraday; TTF gas +9.1%; **US/Israel strike South Pars gas field / Assaluyeh** — four gas treatment facilities (phases 3–6) taken offline; Tehran refinery (220K b/d) also damaged; Iran vows to escalate "in new ways"; Qatar condemns as "dangerous and irresponsible"; US drops bunker-buster bombs on hardened Iranian missile sites near strait.[42] [23] Israel kills intelligence minister Khatib — confirmed by President Pezeshkian.[18] IRGC names five Gulf energy targets "to be struck within hours": SAMREF Yanbu (400K b/d), Sadara Jubail, Qatar Chemical, Ras Laffan refinery (305K b/d), Al-Hosn gasfield UAE (1 bcf/d).[49]

Mar 19 **QatarEnergy CEO confirms Ras Laffan structural damage: 12.8M mt/yr (17% of Qatar's LNG capacity) offline for 3-5 YEARS** — two LNG trains + one GTL facility destroyed; ~$20B/yr lost revenue; repair requires specialized equipment and can only begin once hostilities cease.[60] [61] Iran FM warns Iran will show “zero restraint” if energy infrastructure attacked again.[65] **Iran retaliates for South Pars strike: 5 missile salvos at Jerusalem/northern Israel within one hour; Iran strikes Saudi energy sites and Kuwait Gulf infrastructure** — Washington Post: “trust is gone.”[66] NATO members reject Trump's military help; 6 allies (UK, France, Germany, Italy, Japan, Netherlands) pledge to “contribute” — only after ceasefire. IEA SPR first physical barrels confirmed reaching markets. Brent closes at $112.19 (3-week high).[73]

Mar 19-20 (overnight) **IDF confirms two waves of overnight strikes on Tehran and central Iran** — military infrastructure targeted; Iran fires back toward southern/central Israel.[71] [72] US Pentagon requests additional $200B supplemental; additional Marine Expeditionary Unit and USS Boxer ARG rerouted and accelerated to Middle East.

Mar 20 **US Treasury Sec. Bessent signals: “In the coming days, we may unsanction the Iranian oil on the water — about 140 million barrels”** — potential new general license beyond GL 134; Brent closed ~$108.65 (recovered from $104.96 low after Bessent signal); WTI settled ~$95.55; Bloomberg notes Iranian crude relief “not an easy fix.”[62] [63] [64] **Mojtaba Khamenei Nowruz written message:** declared “enemies are being defeated”; promoted resistance economy; denied Iran/proxies responsible for Turkey/Oman attacks (“false flag”).[70] **Trump calls NATO allies “cowards”** for refusing escort coalition; 7 allies backing “preparatory planning” only.[72]

Mar 21 **Iran drones hit Kuwait's Mina Al-Ahmadi refinery overnight — second strike in 48 hours**; fires burning; ~730K b/d; firefighters still working from prior day's strike; no injuries reported.[75] [76] **Israel launches fresh strikes on Tehran on Nowruz morning. Trump rules out ceasefire**: "you don't do a ceasefire when you're literally obliterating the other side"; declares Hormuz should be protected "by other nations who use it"; brands NATO "a paper tiger" without US involvement.[74] **QatarEnergy CEO warns US officials of "consequences"** for attacking Iranian energy infrastructure. Sri Lanka denies US request to land two fighter jets; Switzerland halts weapons exports to US. **11th MEU (~2,200 Marines) deploying from San Diego.** Brent ~$110 (range $105–$113); WTI ~$94.74. Al Jazeera analysts: $200/bbl "no longer far-fetched."[77] [78] **Iran approves Japan for Hormuz transit** (formal vetting clearance); **20 US allies** issue joint statement committing to safe passage; **France announces Operation Aspides** with two frigates.[86] [87] **"Zombie ship" *Jamal* transits Hormuz** — vessel posing as a scrapped LNG carrier exits strait; first known zombie LNG ship transit since blockade began (Bloomberg).[95]

Mar 23 AM **Trump postpones strikes on Iranian power plants for 5 days**, citing "very good and productive conversations" and "major points of agreement."[83] **Iran denies any negotiations occurred**; FM says Trump's pause is tactical, buying time to plan strikes; Iran vows to **completely close Hormuz** if power plants are attacked.[84] **Brent volatile: $114 intraday high → plunges 13%+ to ~$101.44** (market prices in de-escalation signal); WTI $91.40 (down 6.9%); US gas $3.956/gal (AAA, 23rd straight daily rise) approaching $4 for first time since 2022.[81] [92] **Goldman Sachs raises 2026 Brent forecast to $85/bbl avg** (from $77), calling this "the largest-ever oil supply shock on record" — surpassing 1973 OPEC embargo and 1990 Gulf War; expects Brent to avg $110 in March–April.[85]

Mar 24 **Brent rebounds +4% to ~$104.49/bbl (WTI ~$92.35)** — recovering from Monday's 11%+ selloff; market tentatively pricing in ceasefire talks progress within Trump's 5-day pause window (expires ~Mar 28).[99] **Polymarket/Kalshi:** Hormuz normalization odds 39% by end of April (down from ~80% earlier in March), 67% by June 1 — market pricing prolonged partial disruption.[98] US reportedly not planning ground troop deployment to force Hormuz reopening; Trump pause continues as Iran-linked mediators carry US "points" to Tehran; Iran still denies direct negotiations. Strait transit remains ~95% below pre-war levels.

Mar 25 **Brent falls below $100 for the first time since the war began — $99.61/bbl (–4.67%); WTI $88.37 (–4.31%)** — deepest single-day drop since ceasefire speculation began; market pricing in 15-point US plan reaching Iran via backchannel mediators (Pakistan, Egypt, Turkey).[100] **Iran's UN mission states "non-hostile" vessels may transit with safe passage**, provided they don't participate in aggression against Iran and coordinate with Iranian authorities; however, only **5 vessels transited Monday** (vs. 120/day pre-crisis) per AIS data — permission-based passage remains narrow.[101] **Iran denies direct talks with US**; FM called Trump's ceasefire claims "fake news"; Tehran said the pause is tactical. Simultaneously, **Iran continues striking**: missiles hit central Israel; Saudi Arabia intercepts drone over eastern province; **fuel tank at Kuwait Airport set ablaze.**[102] In-person talks in Pakistan mooted for as early as Friday (Mar 27).[101]

Mar 23 PM **Two Indian LPG carriers (*Jag Vasant* and *Pine Gas*) transiting Hormuz under Indian Navy escort** — 92,600 tons LPG combined; vessels coordinated by Indian Navy under accord with Iran; expected to reach India Mar 26–28.[90] **"Zombie" Aframax tanker *Nabiin* transits Hormuz** — Aframax built 2002, scrapped in Bangladesh ~5 years ago; confirmed exiting into Gulf of Oman Monday morning (Bloomberg); second zombie ship in 3 days, signaling nascent workaround corridor.[96] **Supertanker hauling Iraqi crude crosses Hormuz with AIS transponder off** — signaling continued selective transit activity outside official approved channels.[91] **Sparta Commodities (Neil Crosby, Head of Research):** "Each passing week simply must see market desperation rise"; "Physical crude markets still haven't fully reacted to the scale of disruption."[93]

Iran's Selective Blockade Strategy

> Iran is **not** enforcing a total closure. It is operating a **selective blockade** — blocking US/Western-allied shipping while allowing passage for strategically useful traffic.[5] This divides the Western coalition (India and China have less incentive to act), maintains Iran's revenue, and turns Hormuz into a diplomatic lever. Traffic has collapsed 95%+ from the pre-war 100+ ships/day.[17]

ALLOWED THROUGH	DETAILS
Iranian-flagged vessels	~1.5 mb/d continuing exports; ~1.25 mb/d reaching China via dark fleet; 11.7M bbl since Feb 28.[10]
India-linked cargoes	2 Indian LPG carriers; 1 Saudi tanker (1M bbl for India).[5]
Turkish vessel	Granted passage Mar 13 — confirmed by Turkish transport minister.[5]
Pakistani tanker	*KARACHI* transited Mar 15 with AIS active.[59]
China-bound dark fleet	11.7M bbl Iranian crude transited since Feb 28, all China-bound.[10]
Jask terminal	Iran executing crude exports from Kooh Mobarak terminal south of Hormuz, bypassing strait entirely.[10]
Japan-flagged vessels	Formally approved for transit Mar 21 — first non-China/India/Pakistan/Turkey clearance via Iran's emerging vetting system.[86]
IRGC per-vessel transit fee	**$2 million per vessel** — Iran charging negotiated fee per ship, operated by IRGC; Iranian lawmaker Alaeddin Boroujerdi confirmed implementation. Countries in direct talks: India, Pakistan, Iraq, Malaysia, China, Turkey.[94]

As of Mar 18, vessel transits have nearly doubled to 8 non-Iranian ships detected Monday (MarineTraffic/S&P Global), up from 2–5/day in prior days — "a growing number rerouting via Iran's territorial waters," reflecting permission-based expansion to friendly nations.[19] [17] Iran FM Araghchi: the strait is **"open, but closed to our enemies."**[18]

Iran is reportedly considering allowing **yuan-denominated cargoes** to transit — turning the energy corridor into a currency weapon and challenging petrodollar dynamics.[26]

Infrastructure Damage by Country

COUNTRY	FACILITY	TYPE	ATTACK	STATUS
Saudi Arabia	Ras Tanura	Refinery + terminal (550K b/d)	Drone debris Mar 1	Fire, halted. 2–4 weeks to repair.[4]
Qatar	Ras Laffan	LNG plant (~20% global LNG supply)	Drone strike Mar 2	Force majeure declared; 1 cargo loaded Mar 6; **QatarEnergy CEO (Mar 19): 2 LNG trains + 1 GTL destroyed — 12.8M mt/yr (17%) offline for 3-5 YEARS; ~$20B/yr lost revenue;** restart requires hostilities to cease then specialized equipment rebuild; North Field expansion delayed to 2027.[33] [60]
Qatar	Mesaieed	Petrochemicals/power	Drone strike Mar 2	Downstream production halted.[4]
UAE	Mussafah	Fuel terminal	Direct hit Mar 1	Fire; assessment ongoing.[4]
UAE	Fujairah	Oil terminal (key ADCOP exit)	Hit 3 times (Mar 9, 14, 16)	Loading impaired; ADCOP pipeline still flowing at 1.8 mb/d.[8]
Oman	Duqm	Fuel storage	Multiple drones Mar 1–2	Direct hit, explosion reported.[4]
Oman	Salalah	Port	Drone strike	Damage reported.[4]
Iran	Kharg Island	Oil export hub (~7M b/d capacity)	US strikes Mar 14 (90+ targets)	Military targets only; oil infrastructure spared; 8+ tanker loadings (~14M bbl) continuing.[30]
Iran	South Pars / Assaluyeh	World's largest gas field (70–75% of Iranian gas production); phases 3–6 onshore processing	US/Israel strikes Mar 18	4 gas treatment facilities taken offline; Tehran refinery (220K b/d) also damaged; fire at gasfield brought under control; production volumes not disclosed.[42] [47]

Maritime: 21 confirmed Iranian ship attacks as of Mar 12.[58] Vessel *Athe Nova* (Honduran-flagged) set ablaze near UAE.

Imminent threats (Mar 18): Iran's armed forces named five Gulf facilities as "direct and legitimate targets to be struck within hours": SAMREF refinery Yanbu, Saudi Arabia (400K b/d); Sadara petrochemical complex, Jubail; Qatar Chemical, Doha; Ras Laffan refinery (305K b/d); Al-Hosn sour gas field, Abu Dhabi (1 bcf/d).[49]

Production Cuts (Shut-ins from Storage Constraints)

Global oil supply collapsed to 98.8 mb/d in March vs. ~106 mb/d pre-crisis — a loss of ~7.2 mb/d at the system level.[44] IEA projects global supply down 8 mb/d in March; at least 8 mb/d crude + 2 mb/d condensate/NGL curtailed.[1] [45] Gulf refining capacity shut: 3+ mb/d, freezing 3.3 mb/d of refined product exports and 1.5 mb/d of LPG exports.[1]

COUNTRY	PRE-CRISIS	CURRENT (EST.)	CUT	NOTES
Saudi Arabia	~10.5 mb/d	~8.0–8.5 mb/d	~2.0–2.5 mb/d	Partially offset by East-West Pipeline (2.5 mb/d Yanbu throughput).[44]
Iraq	~4.3 mb/d	~1.4 mb/d	~2.9 mb/d	Rumaila shut-in Mar 3 (storage full); largest single-country cut.[44]
Kuwait	~2.7 mb/d	~2.2 mb/d	~0.5 mb/d	Force majeure declared Mar 7; no pipeline bypass option.[44]
UAE	~3.2 mb/d	~2.4–2.7 mb/d	~0.5–0.8 mb/d	ADCOP pipeline (1.8 mb/d) providing partial export relief.[8]
Iran	~3.2 mb/d	Exporting via own control	Complex	~1.5 mb/d reaching China through Kharg + Jask terminals.[10]
Total Gulf crude	**~24 mb/d**	**~98.8 mb/d global**	**~5.9–6.7 mb/d offline**	**IEA: "largest supply disruption in history of the global oil market."**[1]

Repair & Restart Timelines

Physical Damage

- **Ras Tanura:** 2–4 weeks (fire damage, equipment inspection).[27]
- **Ras Laffan LNG: 3–5 YEARS** for 12.8M mt/yr (17% of Qatar's capacity — two trains + one GTL facility) per QatarEnergy CEO (Mar 19); ~$20B/yr lost revenue; specialized LNG super-cooling equipment must be rebuilt; work cannot begin until hostilities cease; North Field expansion delayed to at least 2027.[60] [61]
- **Fujairah:** Hit 3 times; loading impaired but ADCOP pipeline flowing at 1.8 mb/d.[8]
- **South Pars / Assaluyeh:** 4 gas treatment facilities offline (phases 3–6); fire controlled but no production timeline given; Tehran refinery (220K b/d) damaged separately.[42]
- **Others:** Weeks to assess; fuel storage tank replacement 4–8 weeks minimum.[27]

Shut-in Wells

> **Water Coning Risk**
>
> Wells shut >4 weeks face permanent damage. Bottom water rushes into mature reservoirs during extended shut-ins, trapping oil in pore spaces — potentially irreversible formation damage.[7] Wells shut since Mar 3 hit this critical window around **Mar 28**.

- **First 2 weeks:** Restart straightforward (days to a week per well)
- **2–4 weeks idle:** Corrosion begins; inspection and equipment replacement needed
- **Beyond 4 weeks:** Risk of permanent well damage — oil trapped in pore spaces, potentially unrecoverable
- **IEA:** "Upstream production will take weeks and, in some cases, months, to return to pre-crisis levels."[1]

Strait Reopening Scenarios

- **ING base case:** 4 weeks total (2 full closure + 2 at 50%).

- **Bull case:** Selective passage already occurring; US Navy estimates escort readiness by end of March (needs 8–10 destroyers per convoy).[38]
- **Bear case:** Mojtaba Khamenei hardliner; Iran FM "we never asked for a ceasefire"[6]; South Pars strike risks full-scale energy war — Iranian official warned it "triggers full-scale economic war."[47]

Post-Reopening Recovery Lag

> **2–2.5 Months to Steady State**
>
> Even after Hormuz reopens, the system does not normalize immediately. Well restarts, pipeline recommissioning, insurance market normalization, and tanker fleet repositioning create a 2–2.5 month lag before Gulf supply returns to pre-crisis levels.[27]

- **Week 1–2:** Selective vessels begin transit; war risk premiums remain elevated (1–2% of hull); tanker fleet repositioning underway
- **Week 2–4:** Well restarts (those not permanently damaged); pipeline recommissioning; port congestion clears
- **Month 2:** Insurance market begins normalizing; more tankers return to route; refinery crude slates rebalance
- **Month 2–2.5:** Supply returns to 80–85% of pre-crisis levels; North Sea, US, Russian substitute barrels begin unwinding
- **Persistent damage:** North Field expansion delayed to 2027[33]; wells damaged by water coning potentially unrecoverable; South Pars phases 3–6 restart timeline unknown.

Mitigating Factors

1. Saudi East-West Pipeline (Petroline) STRUCTURAL

- **Pipe capacity:** 7 mb/d (after NGL line conversion)
- **Yanbu throughput:** ~2.5 mb/d (Sparta Commodities, Mar 16) vs. 750K b/d pre-crisis[44]
- **Net new export:** +1.75 mb/d above pre-crisis baseline[8]
- **Limitation:** Only moves crude — no refined products, LPG, or LNG[8]

2. UAE ADCOP Pipeline STRUCTURAL

- **Pipe capacity:** 1.5–1.8 mb/d; now at full capacity[8]
- **Spare activated:** +0.7 mb/d above pre-crisis flow[8]
- **Risk:** Fujairah terminal hit 3 times but pipeline still operational; IRGC now threatening Fujairah area facilities explicitly[49]

3. IEA Strategic Petroleum Reserve POLICY

- **Total committed:** 400M bbl — largest coordinated release in IEA's 50-year history[1][9]
- **Structure:** First tranche is 86M bbl exchange (loan; must be returned with interest)
- **Rate:** ~2.0 mb/d combined (US: 1.43 mb/d over 120 days; IEA non-US: 0.57 mb/d)[1]
- **US SPR capacity:** 714M bbl total; held 415.4M bbl pre-release (peaked at 695M bbl in 2010)[1]
- **OECD government stocks:** ~1.25B bbl total across IEA members[1]
- **Global observed stocks:** ~8,210M bbl (IEA Jan 2026 estimate; highest since early 2021)[44]
- **SPR refill = structural price floor:** 172M bbl committed requires ~$17B in repurchases at $100/bbl — a sustained government buy program supporting prices long after the crisis ends
- **Market reaction:** Flat. Brent held $100+ on announcement day. Insufficient to offset −12 mb/d structural gap.[6]

4. GL 134: Russian Oil Waiver (One-Time) POLICY

> **Cliff Risk: Apr 11**
>
> GL 134 is a STOCK, not a FLOW. 186M bbl on ~238 tankers depletes and vanishes after expiration.[3][44] No extension signals as of Mar 18. This is the single most predictable near-term catalyst for price spikes.

- **OFAC GL 134:** Authorizes delivery of Russian crude already loaded as of Mar 12[3]

- **Effective flow:** ~2.0 mb/d tapering; 60–70M bbl near India/China for prompt delivery[44]
- **Expires:** April 11, 2026 (30 days from issuance)
- **Russia windfall:** Urals swung from –$13/bbl discount to +$4–5/bbl premium (an $18/bbl swing); India's Russian crude imports up ~50% to 1.5 mb/d; Russia earning ~$150M/day additional revenue[44] [52]

5. Other Mitigations

- **Russian production:** +0.1 mb/d (minimal; Feb production falling –56K bpd m/m; may cut 300K bpd by April per Rystad)
- **Iranian own exports:** +1.5 mb/d via Kharg + Jask terminals, almost entirely China-bound[10]

6. Policy Measures

- **Jones Act waiver:** Under consideration — would allow foreign-flagged tankers to move crude between US ports, freeing Gulf Coast refinery capacity. Politically sensitive (longshore labor opposition); last waived post-Katrina 2005.[28]
- **US crude export ban:** Congressional Democrats proposing emergency ban on US crude exports. Would spike WTI vs. Brent; alienates allies dependent on 2–3 mb/d of US exports; opposed by producers and Treasury.[28]
- **CME Group warning:** Exchange described potential $200+ Brent as a "biblical disaster for the global economy" — prompting review of emergency margin and circuit-breaker protocols.[11]

Combined Supply Balance

MITIGATION	VOLUME (MB/D)	START	DURATION
Saudi Pipeline (net) STRUCTURAL	+1.75	Mar 11	Indefinite
UAE ADCOP spare STRUCTURAL	+0.70	Mar 1	Indefinite
IEA SPR release POLICY	+2.00	Mar 12	~120 days (US)
GL 134 floating inventory POLICY	+2.00	Mar 12	Expires Apr 11
Russian increase	+0.10	Mar 3	Ongoing
Iranian own exports	+1.50	Ongoing	Ongoing
Total mitigations	**+8.05**		
Hormuz transit lost	**-20.0**	**Feb 28**	**Until reopened**
NET SHORTAGE	**~-12.0 mb/d**		

Oil Price Impact LIVE

METRIC	PRE-CRISIS (FEB 27)	CURRENT (MAR 25)	CHANGE
Brent Crude LIVE	~$71.00/bbl	$99.61/bbl (Mar 25 — −4.67%; first below $100 since war began; ceasefire speculation); prev Mar 24 close ~$104.49[100]	+40%
WTI LIVE	~$67.00/bbl	$88.37/bbl (Mar 25 — −4.31%; prev Mar 24 ~$92.35)[100]	+32%
Brent intraday peak (all-time crisis)	—	$126/bbl	—
US Gasoline (AAA national avg) LIVE	$2.92/gal	$3.983/gal (AAA, Mar 25)[103]	+36%
US Diesel LIVE	$3.65/gal	$5.366/gal (AAA, Mar 25)[103]	+47%
EU diesel (weighted avg)	~EUR 1.60/L	EUR 1.835/L (GlobalPetrolPrices, Mar 16)[88]	+15%
ICE Low Sulphur Gasoil (front month) LIVE	—	~$1,290.50/tonne (as of Mar 23 — verify on ICE before trading)[97]	Verify on ICE before trading
European jet fuel crack vs. ICE gasoil	—	$518.5/t (all-time record)[43]	First ever >$500/t

- Brent Mar 19 close: $112.19/bbl (3-week high on Iran retaliatory strikes). Brent Mar 20 intraday: ~$107.40 (easing from high; earlier fell to $104.96 after Bessent signal then recovered).[73] [62] [64]
- Geopolitical risk premium: ~$35-40/bbl — "oil would be in the $40s without the Iran war."[50]
- Brent Mar 18 peak: $108.78 on South Pars strike news; +$5.80 on day, +$41.18 from one month ago.[22]
- Citi (Mar 18): Brent to rally to $120 near-term; $130 avg Q2/Q3 in extended disruption scenario.[23]
- Goldman Sachs (Mar 18 revision): raised full-year 2026 Brent forecast; Q4 Brent $71, WTI $67 (assumes 21-day disruption + 30-day recovery — increasingly disconnected from facts on the ground given Day 20 with no ceasefire).[25] [34]
- **Goldman Sachs (Mar 23 — updated):** Raised 2026 Brent avg to **$85/bbl** (from $77); WTI to $79/bbl (from $72). Called this “the largest-ever oil supply shock on record,” surpassing 1973 OPEC embargo and 1990 Gulf War. Assumes Hormuz flows at 5% of normal for 6 weeks then 1-month recovery; cumulative loss >800M barrels; peak disruption ~17 mb/d in full-closure scenario. **Expects Brent to avg $110 in March–April** (up from prior $98 forecast). Lead analyst: Daan Struyven.[85]
- **JPMorgan (Mar 23):** Brent forecast ~$60/bbl avg 2026. Maintains view that protracted disruptions are unlikely.[89]
- **Citigroup (Mar 23):** Brent $75/bbl Q1, $78/bbl Q2, $68/bbl Q3 2026.[89]
- US gasoline +32.6% in one month (AAA, Mar 19): $3.884/gal vs. $2.929 on Feb 19.[65]
- EU diesel: Germany, France, Italy, Netherlands, Finland all above EUR 2.00/L; Ireland highest at EUR 2.30/L; Spain largest jump at +27% to EUR 1.79/L.[46]

GDP Sensitivity: Gulf Producers

COUNTRY	GDP IMPACT	MECHANISM	SOURCE
Qatar	**−14%**	100% LNG/oil exports through Hormuz; Ras Laffan force majeure; North Field delayed to 2027	Goldman Sachs[34]
Kuwait	**−14%**	No pipeline bypass; 100% of 2.7 mb/d exports transit Hormuz; force majeure Mar 7	Goldman Sachs[34]
UAE	**−5%**	ADCOP bypass partially offsets; Fujairah loading impaired; Mussafah terminal hit	Goldman Sachs[34]
Saudi Arabia	**−3%**	East-West pipeline partially offsets; Ras Tanura fire; ~2.0–2.5 mb/d production cut	Goldman Sachs[34]

LNG & Natural Gas Impact

BENCHMARK	PRE-CRISIS	CURRENT	CHANGE
JKM (Asian LNG spot) LIVE	~$8/MMBtu	~$20.18/MMBtu[33]	+152%
TTF (European gas) LIVE	EUR 31.96/MWh	EUR 61.90/MWh[67]	+94%
TTF intraday high (Mar 20)	—	EUR 74/MWh (after Ras Laffan missile strikes)[80]	+132% vs. pre-crisis
TTF prior peak (Mar 10)	—	EUR 59.57/MWh	Now exceeded

- European gas jumped ~45% the day Qatar halted production at Ras Laffan (Mar 2).[33]
- Asian buyers aggressively competing for prompt cargoes, diverting from Europe; Asian LNG prices outpacing European gains.[33]
- Qatar **North Field expansion pushed to at least 2027** — long-term supply implications for ~20% of global LNG capacity.[33]
- South Pars phases 3–6 taken offline Mar 18 — South Pars accounts for 70–75% of Iranian gas production; also feeds petrochemical feedstock supply chains.[42] [47]
- Qatar's FM noted South Pars is "an extension of Qatar's North Field" — strike on Iranian side raises risks to shared reservoir pressure.[49]

Petrochemical Cascade

- **Steam cracker physics:** Crackers operate at a minimum ~60% utilization or must shut down entirely — no idle mode. A cold shutdown requires 2+ months to restart, creating downstream disruptions that outlast the oil crisis itself. ~20% of Asian ethylene capacity is currently under force majeure.[44]
- **Asian naphtha dependency:** Over 60% of Asian naphtha is sourced from the Middle East — blocked Hormuz transit is simultaneously a crude shortage and a petrochemical feedstock crisis.[44]
- **LPG yield collapse:** When crude slates shift from light Gulf grades to heavier alternatives, LPG yield drops from ~2% to ~1% of feedstock — compounding the direct LPG shortage from blocked transit.
- **Feedstock cost spike:** Petrochemical feedstock costs up 15–25% globally; downstream impacts cascade through plastics, fertilizers, and pharmaceuticals.[44]
- **China exposure:** Over 80% of China's petrochemical capacity is configured for Iranian crude grades. Iran's continued Kharg + Jask exports partially mitigate this, but any escalation halting Iranian exports triggers immediate cracker shutdowns across China's industrial northeast.[44]
- **HSFO crack spread:** High-sulphur fuel oil (180 cst) widened +$20/bbl as bunker demand surges from longer rerouting distances. Cape route adds 10–14 days of fuel burn per voyage.[44]
- **European jet crack:** Jet fuel premium to ICE gasoil hit all-time record of $518.5/t — first time ever above $500/t.[43]
- **US LPG:** US produces 2.3 mb/d LPG with ~450K b/d spare export capacity. However, 5–6 week sailing time to Asia limits near-term relief — cargoes contracted today don't arrive until late April.[44]

Insurance & Shipping

- **War risk premiums:** ~5% of vessel value per transit, up from 0.02–0.05% pre-crisis — a $100M tanker now costs $5M to insure for one transit.[41]
- Major P&I clubs (Gard, Skuld, NorthStandard, London P&I, American Club) cancelled war risk cover effective Mar 5.[41]
- Hormuz now the "world's most expensive waterway" after 300% premium surge.[31]
- Maersk, CMA CGM, Hapag-Lloyd all suspended Hormuz/Red Sea transits.[32]
- **Tanker stocks surging:** BWET +288% YTD ($79.87 Mar 20, +3.0% on day); FRO +62.6% ($35.49), NAT +63.2%, DHT +59.1%.[51]
- VLCC spot rates ~$170K/day.[32]
- **Container rerouting:** Cape of Good Hope diversion adds 10–14 days and $500–800K per voyage; ~250,000 containers/month diverted; ~70,000 vehicles/month from Japan/South Korea plants delayed.[29]

- **US LPG arbitrage window:** US Gulf Coast to Asian terminal = 5–6 week sailing. Cargoes contracted today arrive late April at earliest — limited near-term relief despite 450K b/d US spare export capacity.[44]

Diplomatic & Military Developments

Naval Coalition (Hormuz Escort)

- Trump called on NATO, China, Japan, South Korea, UK, and France to send warships to secure Hormuz.[15]
- **Declined:** Germany, Japan, Italy, Romania, Spain, UK, Australia, Luxembourg formally declined; EU voted against expanding naval operations.[15]
- **Partial:** France pledged 2 frigates — Operation Aspides announced Mar 21;[38] [87] Pakistan launched Operation Muhafiz-ul-Bahr.
- **20 US allies** issued joint statement Mar 21 committing to safe passage through Hormuz; Japan formally approved for Iran vetting transit (first non-China/India/Pakistan/Turkey clearance).[87] [86]
- US Navy estimates escort readiness by end of March — needs 8–10 destroyers per convoy.[38]
- Military analysts: forcing Hormuz open against IRGC asymmetric threats would be "almost suicidal" — requiring ~80,000 marines.[40]
- Trump threatened to reconsider NATO membership after allies refused to join Hormuz mission.[15]

UN Security Council

- **Resolution 2817** (Mar 11): Condemned Iran's attacks on regional energy infrastructure. Vote: 13-0-2 (China/Russia abstained). Record 135 co-sponsors.[2]
- Competing Russian draft failed 4-2-9.

Ceasefire: Pause — But Contested

- Iran FM Araghchi: "We never asked for a ceasefire."[6]
- Trump (Mar 15): Iran "willing" but "terms aren't good enough yet."[28]
- President Pezeshkian preconditions: recognition of rights, reparations, guarantees against future aggression.[28]
- **Trump (Mar 23) postponed strikes on Iranian power plants for 5 days**, citing “very good and productive conversations” and “major points of agreement.”[83]
- **Iran denied any negotiations**; FM said the pause is tactical — aimed at reducing energy prices and buying time to plan strikes; Tehran vowed to completely close Hormuz if power plants are attacked.[84]

Iran Leadership Succession

ROLE	KILLED/REMOVED	SUCCESSOR	DATE
Supreme Leader	Ali Khamenei (Feb 28)	**Mojtaba Khamenei** (IRGC-backed)[58]	Elected Mar 9
IRGC Commander	Mohammad Pakpour (Feb 28)	Ahmad Vahidi	Mar 1
Security Chief	Ali Larijani (Mar 17)[16]	—	—
Basij Commander	Gholamreza Soleimani (Mar 17)[16]	—	—
Intelligence Minister	Esmaeil Khatib (Mar 18)[18]	—	Confirmed by President Pezeshkian

40+ Iranian officials killed total, including intelligence minister Khatib (Mar 18).[16] [18] Mojtaba Khamenei's election under IRGC pressure suggests the hardline faction has consolidated control — reducing the likelihood of near-term de-escalation.[39] IRGC has issued evacuation warnings for civilians near Saudi, Qatar, and UAE energy facilities, signaling imminent strikes beyond Iran's borders.[49]

Flow Rate Constraints: Why “Paper” Relief Lags Physical Reality

SPR releases and pipeline activations are announced in volume terms. The binding constraint is **deployment rate** — how fast the barrels can physically move. Headline numbers consistently overstate near-term relief.[6]

US Strategic Petroleum Reserve

Theoretical 4.4 → Reality 1.2 mb/d

The US SPR has never actually sustained its theoretical withdrawal rate. Salt cavern geology, pipeline infrastructure, and marine terminal throughput impose sequential bottlenecks that compress the effective rate to roughly one-quarter of the design maximum.[1]

CONSTRAINT LAYER	RATE (MB/D)	NOTES
Salt cavern max withdrawal	4.4	Theoretical; never achieved simultaneously across all 4 sites[1]
Marine terminal throughput	2.2	Big Hill, Bryan Mound, West Hackberry combined loading capacity
Historical max achieved	1.2	Post-Katrina 2005 and Libya 2011 peaks; best real-world benchmark[1]
Current DOE plan (120 days)	1.43	172M bbl ÷ 120 days; requires near-full terminal utilization[3]

IEA Non-US Members

Combined IEA non-US committed release: ~228M bbl across Europe, Japan, South Korea — but practical deployment rates are severely constrained by logistics, not storage.[1]

REGION	COMMITTED (MB)	PRACTICAL RATE (MB/D)	BOTTLENECK
Europe (IEA)	~150M	~0.30	Distributed storage across 28 countries; slow drawdown logistics[1]
Japan (IEA)	~80M govt	~0.20	Tanker scheduling from coastal storage tanks
South Korea (IEA)	~50M	~0.10	Pipeline connectivity limits throughput to domestic refineries
Combined non-US IEA	**~314M**	**~0.57**	Logistics — not storage — is the binding constraint

GL 134 Floating Inventory

METRIC	FIGURE	NOTES
Total floating volume	186M bbl	~238 tankers; Sparta Commodities (Mar 16)
Near-field (India/China waters)	60-70M bbl	Prompt delivery within days to nearby refineries
Effective discharge rate	~2.0 mb/d tapering	Limited by port berths and unloading arms, not tanker availability
Expiration	Apr 11, 2026	Stock depletes; no replenishment mechanism; one-time relief

Reality Check: Combined Maximum Deployment

~6.5 mb/d Maximum → vs. −20 mb/d Lost

If every mitigation deploys simultaneously at maximum physical rate: US SPR 1.43 + IEA non-US 0.57 + GL 134 2.0 + Saudi pipeline 1.75 + ADCOP 0.70 = **6.45 mb/d peak**. Against 20 mb/d lost, the physical deployment gap is ~13.5 mb/d even in a best-case coordination scenario. The paper balance sheet and the physical market diverge by the rate at which barrels can actually move.

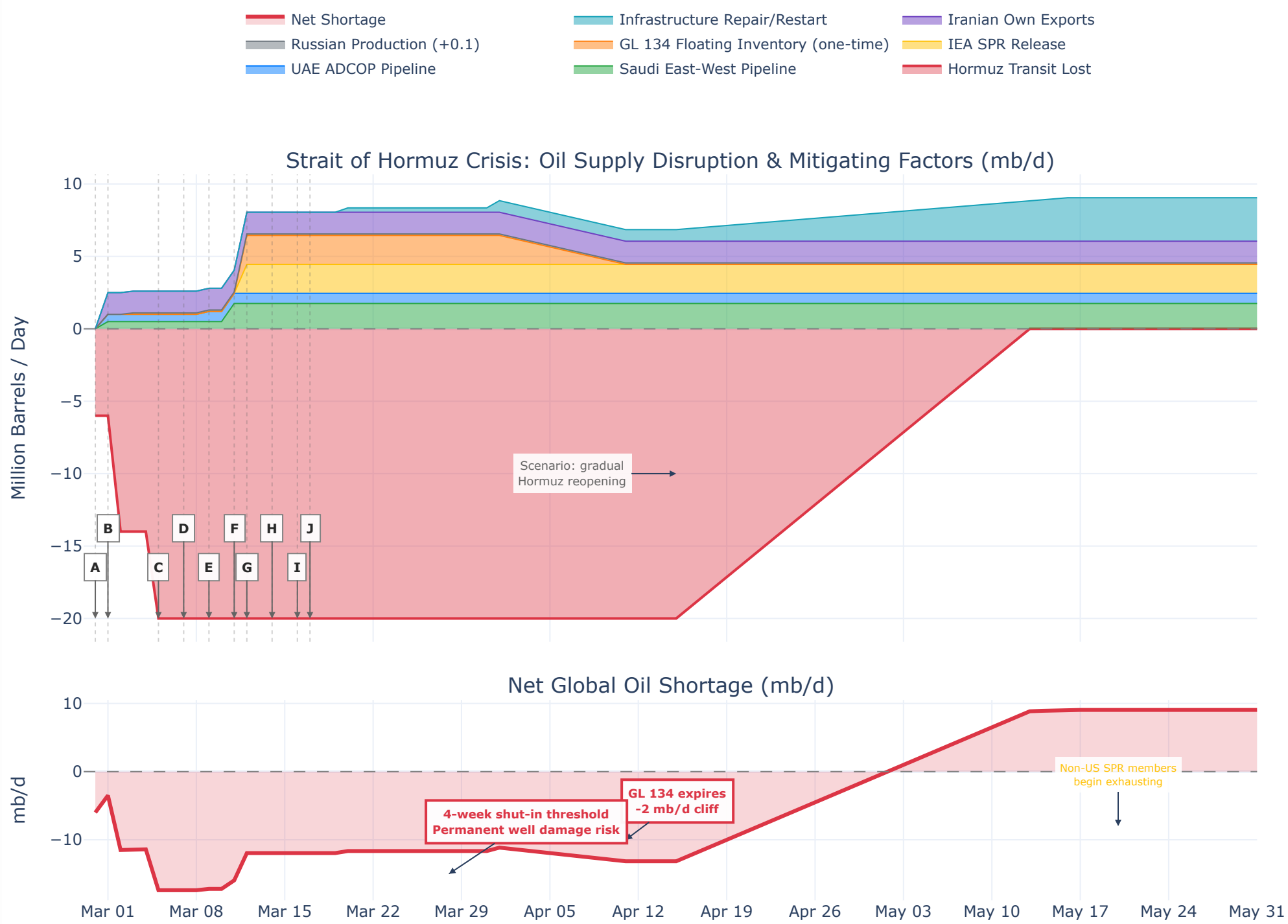
Country-Level Vulnerability

Adjusted Days of Cover = Strategic Reserves ÷ (Daily Consumption × Hormuz Dependency %). Measures runway against the *Hormuz-disrupted portion* of supply specifically — more meaningful than headline days-of-supply figures.

Critical (<45 adj. days) High (45–100 adj. days) Moderate (100–200 adj. days) Low (direct exposure)

COUNTRY	CONSUMPTION	HORMUZ DEP.	STRATEGIC RESERVES	ADJ. DAYS COVER	KEY VULNERABILITY
Singapore	~1.5 mb/d (refinery)	>90%	<14 days	~11 days	Regional refining hub; minimal strategic storage; choke point for SE Asia fuel
India	~5.2 mb/d	~60%	~7 days govt	~12 days	87% import-dependent; secured limited passage; 30x spike in induction stove sales; ~37M bbl total govt reserves
Australia	~1.0 mb/d	~90% fuel imports	~21 days	~23 days	Lowest OECD compliance (IEA requires 90-day minimum); minimal domestic refining; worst-prepared OECD economy
Japan	~3.2 mb/d	~75%	80M bbl govt SPR	~33 days	PM warned of collapse within 8-9 months; declined escort coalition; refineries designed for Arab Light grade
Taiwan	~1.0 mb/d	~85%	~60 days total	~71 days	No domestic production; TSMC fab energy exposure; strategic ambiguity complicates supply agreements
Thailand	~1.2 mb/d	~55%	~30 days total	~55 days	Petrochemical complex at Map Ta Phut (7% of GDP) dependent on Gulf naphtha; limited bypass options
South Korea	~2.8 mb/d	~70%	~90 days total	~129 days	Refineries designed for Gulf crude; Ulsan complex processes Arab Heavy; issued "reduce by 20%" conservation guidance
Kuwait	~0.5 mb/d (consumer)	100% exports	—	GDP −14%	No pipeline bypass; 100% of 3.2 mb/d exports transit Hormuz; force majeure Mar 7; most GDP-exposed producer
Pakistan	~0.6 mb/d	~30%	~20 days total	~67 days	Iranian crude alternative available (pipeline under discussion); lower Hormuz exposure than neighbors; Operation Muhafiz-ul-Bahr
Qatar	~0.7 mb/d (consumer)	100% LNG exports	—	GDP −14%	Ras Laffan force majeure; North Field to 2027; 20% of global LNG offline; producer vulnerability (exports, not imports)
Saudi Arabia	~4.0 mb/d	~65% exports	—	GDP −3%	East-West pipeline partially offsets; Ras Tanura fire; ~2-2.5 mb/d cut; partial bypass mitigates worst case
China	~16.5 mb/d	~37%	~1,200M bbl	~197 days	Receiving Iranian crude via dark fleet; 75% rail electrified; 50% EV semi sales; in talks for guaranteed passage; most buffered major importer
Europe (agg.)	~12 mb/d	~12% oil / 20% LNG	90+ days avg	>600 days	TTF gas +59%; Qatar LNG halt critical; North Field delay multi-year; oil exposure manageable but gas exposure severe
UAE	~1.0 mb/d	<20% export exposure	—	GDP −5%	ADCOP pipeline reduces export Hormuz dependency; Fujairah struck 3x but loading continues; Mussafah terminal damaged
United States	~20.0 mb/d	Net exporter	415M bbl SPR	Indirect	No direct import exposure; indirect: allied economic collapse = global recession; export ban debate; SPR depleting

Interactive Supply Chart



Demand Destruction Dynamics

- **Threshold price:** Bernstein estimates $155/bbl Brent as the level triggering structural demand destruction — ~50% above current levels. Below this, oil demand is largely inelastic in the short run due to lack of substitutes for transportation and industrial use.
- **Price elasticity:** Short-run oil demand elasticity: −0.2 to −0.3. At $103 Brent, implied demand reduction: ~2-3% globally (~2-3 mb/d). Meaningful, but far from closing the -12 mb/d structural gap.
- **IEA demand revisions:** IEA raised its 2026 demand destruction estimate from 210K b/d to 640K b/d — reflecting higher-than-expected price pass-through to consumers and faster behavioral response in Asia.
- **Asian emergency measures:** India mandating 10% ethanol blending expansion; Japan activating emergency conservation orders (factories, commercial buildings); South Korea issuing "reduce by 20%" public guidance; China restricting highway trucking to odd/even license plates in 7 provinces.
- **Stalemate scenario (15-20% demand drop):** If closure extends 3+ months with no resolution, IEA models 15-20% demand contraction in Asia-Pacific — triggering a global recession that itself destroys demand. This is the self-correcting mechanism, but the adjustment is severe and non-linear.
- **Supply-demand clearing:** Futures curve implies market expects clearing at ~$85 Brent by year-end (steep contango). Structural analysts (Pozsar, Trafigura) argue this assumes a brief disruption and is badly mispriced if closure extends past June.

What to Watch

1. Mar 28 — DUAL RISK CONFLUENCE (3 DAYS AWAY): (a) **4-week shut-in threshold:** wells shut since Mar 3 approach permanent water coning damage window; risk accelerates each additional week. (b) **Trump's 5-day strike postponement expires:** if talks fail, power plant strikes resume — Iran has vowed complete Hormuz closure in response. These two clocks run out on the same date. **Imminent, not theoretical.**[7] [83]

2. GL 134 expiration (Apr 11): −2 mb/d cliff drop from mitigation stack when 186M bbl floating inventory depletes. No extension signals. Single most predictable near-term price catalyst.[3] [13]

3. IRGC retaliation on Gulf energy sites — one confirmed strike (Mar 18): Five named targets (as of Mar 18 morning): SAMREF Yanbu (400K b/d), Sadara Jubail, Qatar Chemical, Ras Laffan refinery (305K b/d), Al-Hosn gasfield (1 bcf/d). Ras Laffan was hit that evening (ballistic missile strike, "extensive damage"). Remaining four targets still at risk. Any additional strike sends Brent to new highs.[49] [42] [61]

4. South Pars damage assessment: Phases 3–6 gas treatment facilities offline; Tehran refinery (220K b/d) hit. Qatar's FM noted South Pars is "an extension of Qatar's North Field" — strikes on shared reservoir risk multi-year supply implications beyond the war itself.[42] [49]

5. Coalition escort formation: US Navy estimates readiness by end of March (8–10 destroyers per convoy). Germany, Japan, Australia declined. Military analysts: "almost suicidal" without ~80,000 marines.[40] [38]

6. Mojtaba Khamenei's posture: IRGC-backed hardliner. Iran FM: "We never asked for a ceasefire." Nowruz message (Mar 20): declared "enemies defeated", resistance economy, denied Turkey/Oman attacks as "false flag." Has not appeared in person since election — IRGC tightly controls access. His resistance framing signals prolonged conflict intent.[70] [6] [39]

7. SPR drawdown pace: US portion (172M bbl) gone by ~mid-July at 1.43 mb/d. Post-SPR cliff if crisis extends past summer.[1]

8. Refined products crunch: Bypass pipelines only move crude — no relief for diesel, LPG, or LNG. Diesel $4.95/gal. EU diesel EUR 2.00+/L. Ras Laffan + North Field delay = 20% of global LNG supply impacted for years.[12] [46]

9. Yuan-denominated Hormuz transit: If Iran allows yuan-settled cargoes, it's a structural shift in petrodollar dynamics. Watch China-Iran negotiations.[26]

10. Insurance normalization: War risk at 5% of hull value makes commercial transit economically unviable even if militarily possible. [41] [31]

11. Mine deployment threat: IRGC has not yet deployed sea mines — widely considered the red line that triggers direct US military escalation. Any confirmed mine detection = immediate $20–30/bbl market shock. Watch USNI and CENTCOM.[40]

12. Xi-Trump back-channel: China absorbs 37% of Hormuz crude flows and is the only actor with credible leverage over Iran. A Xi-Trump bilateral call is the most likely catalyst for a ceasefire framework.[39]

13. Iranian crude sanctions relief (~140M bbl, Mar 20+): Bessent signaled the US may issue a new general license covering ~140M bbl of Iranian crude at sea — broader than GL 134 (Russian), now covering Iranian oil. Key questions: (a) Will this be formally issued in days? (b) Can sanctioned Iranian crude reach willing refineries? Bloomberg notes logistics and refinery-compatibility constraints limit actual market impact. (c) Political optics: easing sanctions on an enemy mid-war could fracture coalition partners.[62] [63] [64]

14. Ras Laffan 3-5 year structural damage (LNG): QatarEnergy CEO's assessment permanently resets the LNG supply outlook. 12.8M mt/yr offline through 2029-2031 regardless of when the war ends. Watch LNG futures curves beyond the spot window for

structural repricing, and European energy security plans being recalibrated.[60] [61]

15. Iran-Israel escalation spiral — Kuwait Mina Al-Ahmadi (Mar 20-21): Iran hit Kuwait's Mina Al-Ahmadi refinery twice in 48 hours (Mar 20 + Mar 21 overnight); ~730K b/d capacity at risk. IDF struck Tehran on Nowruz morning (Mar 21). The escalation pattern (South Pars → Ras Laffan → Mina Al-Ahmadi) suggests Iran is systematically targeting the full upstream-to-refining chain. Watch whether Ghawar, ADNOC Abu Dhabi, or Saudi Yanbu become next targets.[75] [76]

16. US military reinforcement (Mar 20-21+): 11th MEU (~2,200 Marines) deploying from San Diego; USS Boxer ARG rerouted; Pentagon $200B supplemental. Trump (Mar 21) simultaneously signals no ceasefire *and* declares Hormuz "other nations' problem." Watch for the contradiction to resolve: either allies step up (unlikely given NATO "paper tiger" comments) or US forces carry the reopening mission alone.[74] [78]

17. $200/bbl oil scenario: Al Jazeera analysts stated $200/bbl is "no longer far-fetched" if the Mar 28 well-damage threshold and Apr 11 GL 134 cliff coincide with no Hormuz reopening signal. Goldman Sachs' base case assumed recovery begins Mar 21 — that assumption has failed. Goldman now raised 2026 avg to $85 (from $77) but still assumes partial flows resume. Brent fell to $101 on Trump's 5-day pause; watch for violent repricing if talks collapse within the 5-day window.[77] [85]

18. Trump's 5-day strike pause (expires ~Mar 28): Trump (Mar 23) postponed strikes on Iranian power plants citing "productive talks." Iran denied any negotiations. The market is treating this as a de-escalation signal (Brent –7%), but the situation is binary — deal or escalation within the window. The pause window coincides exactly with the Mar 28 water coning threshold. If talks collapse, market could face simultaneous permanent well damage + new military escalation signals.[83] [84]

19. Iran's formal vetting system (selective passage expansion): Iran is developing a registration/vetting protocol for Strait transit. Japan approved Mar 21 — first non-China/India/Pakistan ally to receive formal clearance. 20 US allies committed to safe passage Mar 21 (joint statement); France announced Operation Aspides (2 frigates). Watch whether vetting system expands to EU nations or remains weaponized as a diplomatic lever.[86] [87]

Market & Social Intelligence

Sparta Commodities (Physical Market Intelligence)

- **Neil Crosby, Head of Research (Mar 23 — latest):** *"Each passing week simply must see market desperation rise"*; *"Physical crude markets still haven't fully reacted to the scale of disruption."*[93]
- **Philip Jones-Lux, Sparta:** *"This is the most important oil supply disruption event since the 1970s."*[85]
- **Jet fuel at 10-year high** (Sparta data cited by AGBI): jet cannot be blended like diesel; Gulf crude is the optimal feedstock; Hormuz disruption hits jet supply disproportionately. Approximately 1/5 of global jet exports transited Hormuz pre-war.[85]
- **Products more stressed than crude** (Sparta): refined products margins have widened far more than crude differentials — refiners outside the Gulf are the indirect beneficiaries.
- Track real-time Sparta analysis: @JuneGoh_Sparta on X

Fintwit / X Sentiment

- **Consensus long energy.** BWET ~+288% YTD ($79.87 Mar 20, +3.0% on day). USO +64%. XLE +27%. Record $211M retail inflows on Mar 12.[13]
- **Bessent Iranian crude sanctions relief signal** (Mar 20) sparked a "sell the news?" debate — prices fell 3% on announcement; some see it as insufficient to offset GL 134 cliff.
- **Iran's selective blockade** widely discussed as strategically effective — divides Western coalition.
- **"Stalemate at sea"** framing gaining traction. Ritter analysis: reopening requires ~80,000 marines.[38]
- Relief rallies treated as **"sell the rip"** — not genuine de-escalation.
- Goldman: $100+ March, $85 April. UBS: $90 June, $85 year-end.[32]

Reddit (WSB, r/investing, r/stocks)

- **"Oil is the new meme stock."** USO largest single-day inflow since Aug 2020. CNBC: "meme-style" trading.[13]
- **SPY sentiment still bullish (68/100)** — WSB shorting VIX, betting crisis contained.
- **USO contango warnings** from experienced traders: "Don't confuse an oil trade with an oil investment."
- **Futures curve disconnect:** Jan 2027 Brent ~$70. Retail more bullish than curve implies.
- **Second-order plays:** Defense, tankers, Asian refiners. "Alpha is in second-order effects."

HackerNews Technical

- **Escort infeasibility:** Iran's asymmetric threats in confined waters make convoy escort untenable without massive amphibious deployment.[52]
- **Refinery grade mismatch:** Can't swap crude sources without retooling — constrains substitution speed.
- **Water coning:** Under-discussed mechanism behind 4-week well damage threshold.[53]
- **No shale response at $100:** "Wall Street killed the wildcatters" — capital discipline = buybacks over capex.[53]
- **Pozsar's Bretton Woods III:** Hormuz as structural validation of physical commodity repricing.[52]
- **China's resilience:** 75% rail electrified, 50% of 2025 semi-tractor sales electric, Russian gas via pipelines.
- **Silicon Valley gasoline at $7+/gal** (reported @Animats).[52]

YouTube Coverage

- **Peter Zeihan** most prolific — rapid-fire series since Feb 28. Also on Prof G Pod with Galloway (Mar 9).[51]

- **Al Jazeera Inside Story** (Mar 16): panel on Hormuz as Trump's problem. Military analyst: "almost suicidal."
- **Key thesis:** US doesn't need Gulf oil (net exporter) but allies do — strait closure accelerates deglobalization.

Trading Signals

SIGNAL	BULL CASE	BEAR CASE
Futures curve LIVE	Backwardation = expects short disruption	If wrong, violent catch-up repricing
Retail inflows ($211M)[13]	Momentum extends rally	Meme-style = fragile, reverses fast
Shale non-response	No new supply = sustained shortage	Discipline could break at $130+
Tankers (BWET ~+288% YTD; $79.87) LIVE	Longer routes for months; DHT Q1 at $78,900/day	Snap back on ceasefire signal
Iranian crude sanctions relief (~140M bbl) POLICY	New supply from Iranian floating inventory	Logistics/refinery constraints; political optics; may not move market
SPR drawdown POLICY	Buys 120-200 days	Post-SPR cliff past Jul
GL 134 (Apr 11) POLICY	Extension = more supply	No extension = -2 mb/d cliff
Clean energy flat	Not pricing structural shift	Could catch bid at 3-month mark
Insurance (5% hull) LIVE	Commercial transit dead	Normalization = de-escalation signal

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- **[6]** Al Jazeera: Strategic oil release may calm markets but cannot fix Hormuz disruption (Mar 15, 2026) ↑
- **[7]** Fortune: Iran war causes biggest oil supply disruption in history; energy crisis may outlast the war (Mar 13, 2026) ↑
- **[8]** CNBC: Saudi East-West Pipeline and UAE ADCOP bypass capacity (Mar 12, 2026) ↑
- **[9]** CNBC: IEA coordinates record 400M barrel emergency release (Mar 11, 2026) ↑
- **[10]** CNBC: Iran ships oil to China through nominally closed strait; Jask terminal active (Mar 11, 2026) ↑
- **[11]** CNBC: Oil meme-style retail trading; $211M single-day inflow; CME "biblical disaster" warning (Mar 16, 2026) ↑
- **[12]** CNBC: Diesel hits $5/gal for first time since 2022; Ras Laffan LNG North Field delay (Mar 17, 2026) ↑
- **[13]** CNBC: Treasury Sec. Bessent confirms GL 134; US allowing Iranian tankers (Mar 13, 2026) ↑
- **[14]** NPR: Hormuz traffic dried up — how closed is it really? (Mar 4, 2026) ↑
- **[15]** NPR: Trump demands NATO police Hormuz; allies refuse; threatens NATO exit (Mar 16, 2026) ↑
- **[16]** NPR: Israel kills Larijani and Gholamreza Soleimani (Mar 17, 2026) ↑
- **[17]** CNBC: Hormuz bottleneck — who's moving, who's stranded; traffic down 95%+; 8 vessels Monday (Mar 18, 2026) ↑
- **[18]** Al Jazeera liveblog: Israel kills intelligence minister Khatib; confirmed by Pezeshkian (Mar 18, 2026) ↑
- **[19]** Al Jazeera: Iran allowing more ships through Hormuz; FM "open but closed to enemies" (Mar 18, 2026) ↑
- **[20]** CBS News: Israel kills Iran leaders; EU rejects Trump Hormuz escort request (Mar 17–18, 2026) ↑
- **[21]** Euronews: Israel strikes targeting Tehran and Beirut; Trump NATO exit threat (Mar 17, 2026) ↑
- **[22]** Fortune: Oil price Mar 18 — Brent $108.78 at 9:15 ET, +$5.80 on day, +$41.18/mo (Mar 18, 2026) ↑
- **[23]** CNBC: Brent $109.50, WTI $99.05; Citi forecasts $120 near-term, $130 Q2/Q3 extended scenario (Mar 18, 2026) ↑
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- **[28]** NBC: Iran ceasefire signals; Trump "terms not good enough"; Pezeshkian preconditions; Jones Act waiver and export ban under debate (Mar 2026) ↑

- **[29]** Kpler: Hormuz crisis reshapes global oil markets; 250K containers/month diverted (Mar 2026) ↑
- **[30]** Kpler: Kharg Island — backbone of Iran's oil economy; 8+ tanker loadings continuing post-strike (Mar 2026) ↑
- **[31]** Euronews: Hormuz "world's most expensive waterway" after 300% war-risk premium surge (Mar 16, 2026) ↑
- **[32]** S&P Global: Tankers take record premiums, stay away from Hormuz; Maersk/CMA CGM/Hapag-Lloyd suspend; VLCC $170K/day (Mar 9, 2026) ↑
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- **[39]** Middle East Forum: Iran blockade analysis; Khamenei hardline posture; China leverage assessment (Mar 2026) ↑
- **[40]** CSIS: No one getting through Hormuz; mine threat red line; 80,000 marines required estimate (Mar 2026) ↑
- **[41]** Insurance Journal: Maritime war risk at 5% of hull value; P&I clubs cancel cover; economic unviability of transit (Mar 17, 2026) ↑
- **[42]** Argus Media: US/Israel hit South Pars — phases 3–6 offline; Tehran refinery (220K b/d) damaged; Brent +6.1% to $109.75; TTF +9.1%; five Gulf targets named (Mar 18, 2026) ↑
- **[43]** Argus Media: European jet fuel all-time high — crack to ICE gasoil hits $518.5/t, first time above $500/t (Mar 2026) ↑
- **[44]** Sparta Commodities: Iran war and oil markets — Part 2; global supply 98.8 mb/d; Urals +$18/bbl swing; Russia +$150M/day; India Russian imports +50% to 1.5 mb/d; Asian ethylene 20% under FM; naphtha 60% ME-sourced (Mar 16, 2026) ↑
- **[45]** gCaptain: IEA warns Hormuz crisis triggering largest oil supply disruption in history; 8 mb/d crude + 2 mb/d NGL; 3+ mb/d refining capacity shut; 3.3 mb/d products frozen (Mar 12, 2026) ↑
- **[46]** IRU: Iran war — European fuel prices high and volatile; EU diesel EUR 2.00/L avg; Ireland EUR 2.30/L; Spain +27% to EUR 1.79/L (Mar 2026) ↑
- **[47]** Türkiye Today: Iranian official warns South Pars attack "triggers full-scale economic war"; South Pars = 70–75% of Iranian gas output (Mar 18, 2026) ↑
- **[48]** BNN Bloomberg: Iran's South Pars struck — world's largest gas field; major escalation in energy infrastructure targeting (Mar 18, 2026) ↑
- **[49]** Al Jazeera: Iran threatens Gulf energy facilities after South Pars attack — SAMREF, Sadara, Qatar Chemical, Ras Laffan refinery, Al-Hosn (1 bcf/d) (Mar 18, 2026) ↑
- **[50]** 247 Wall St: Commodity strategist — "oil would be in the $40s without the Iran war" (Mar 4, 2026) ↑
- **[51]** 247 Wall St: Tanker stocks surge — BWET +243% YTD; FRO +62.6%, NAT +63.2%, DHT +59.1% (Mar 9, 2026) ↑
- **[52]** Washington Post: Russia oil windfall — Urals at premium; India imports up 50%; +$150M/day revenue (Mar 14, 2026) ↑
- **[53]** TIME: Russia as early winner of the Iran war (Mar 2026) ↑
- **[54]** 60 Minutes: Choke Point — Strait of Hormuz documentary (Mar 15, 2026) ↑
- **[55]** Prof G Pod: Peter Zeihan on Iran war and Hormuz (Mar 9, 2026) ↑
- **[56]** Hacker News: Oil hits $100 despite record SPR release (Mar 2026) ↑
- **[57]** Hacker News: What if the Hormuz closure isn't brief? (Mar 2026) ↑
- **[58]** Wikipedia: 2026 Strait of Hormuz crisis — timeline, vessel counts, leadership succession (continuously updated) ↑
- **[59]** IndexBox: Pakistani tanker KARACHI navigates Strait of Hormuz amid conflict (Mar 2026) ↑
- **[60]** CNBC: QatarEnergy CEO — Iran attack wipes out 17% of Qatar LNG capacity for up to 5 years (Mar 19, 2026) ↑
- **[61]** Bloomberg: Iran strike damages 17% of Qatar LNG for 3-5 years (Mar 19, 2026) ↑
- **[62]** CNBC: Oil prices little changed at $108 as US considers lifting sanctions on Iranian crude — Brent $108.48 (10:36am ET), WTI $96.69; earlier fell to $104.96 on Bessent signal then recovered (Mar 20, 2026) ↑
- **[63]** Axios: US weighs lifting Iran oil sanctions to keep price in check amid war (Mar 19, 2026) ↑
- **[64]** Bloomberg: Removing sanctions on Iran's crude not an easy fix for oil prices (Mar 20, 2026) ↑
- **[65]** Al Jazeera: Iran warns it will show 'zero restraint' if infrastructure attacked again (Mar 19, 2026) ↑
- **[66]** Washington Post: Iran hits Gulf energy sites as US mulls sanctions rollback (Mar 19, 2026) ↑
- **[67]** OilPriceAPI: Dutch TTF gas price — EUR 61.90/MWh (Mar 20, 2026); intraday high EUR 69.35/MWh (Mar 20, 2026) ↑
- **[68]** Fortune: US gas prices highest since 2023 with no end in sight — gasoline $3.884/gal, diesel $5.10/gal (AAA, Mar 20) (Mar 18-20, 2026) ↑
- **[69]** Axios: Seven US allies back potential Strait of Hormuz coalition — "preparatory planning" statement; up from 6 in prior reporting (Mar 19, 2026) ↑
- **[70]** Al Jazeera: Iran's Khamenei says 'enemy defeated' in written Nowruz message — denies Iran/proxies responsible for Turkey/Oman attacks; promotes resistance economy (Mar 20, 2026) ↑
- **[71]** CNN live: Iran war updates — IDF overnight strikes on Tehran; Iran fires back; Saudi/Kuwait energy sites hit; Pentagon $200B supplemental (Mar 20, 2026) ↑
- **[72]** NPR: Israel strikes Tehran; Iran attacks Gulf states — IDF two waves on central Iran; Iran 5 missile salvos at Israel; Trump calls NATO allies 'cowards'; MEU + Boxer ARG rerouted (Mar 20, 2026) ↑
- **[73]** Fortune: Oil price Mar 20 — Brent ~$107.40 intraday; closed Mar 19 at $112.19 (3-week high); WTI ~$93.55 intraday, settled $98.32 on Mar 19 (Mar 20, 2026) ↑
- **[74]** Al Jazeera liveblog: Iran war Mar 21 — Trump rules out ceasefire; Hormuz “other nations’ problem”; NATO “paper tiger”; Israel strikes Tehran on Nowruz; Brent ~$110 (range $105–$113), WTI ~$94.74 (Mar 21, 2026) ↑
- **[75]** USNews/AP: Kuwait says Mina Al-Ahmadi refinery hit again by Iranian drones — second strike, fire started; ~730K b/d; no injuries (Mar 20-21, 2026) ↑

- **[76]** Al Jazeera: Iran hits Kuwaiti oil refinery as Israel renews attacks on Tehran (Mar 20, 2026) ↑
- **[77]** Al Jazeera: Could oil hit $200 a barrel? Analysts no longer think it is far-fetched (Mar 19, 2026) ↑
- **[78]** NBC News live updates: Iran attacks Gulf energy sites, exchanges strikes with Israel; QatarEnergy CEO warns of “consequences”; 11th MEU deploying; Sri Lanka denies jet request (Mar 21, 2026) ↑
- **[79]** AAA Newsroom: Jump at the Pump — national average goes up nearly 27 cents to $3.912/gal (Mar 21, 2026) (Mar 21, 2026) ↑
- **[80]** Natural Gas Price Today: Europe gas hits highest since 2023 — TTF EUR 74/MWh intraday high after Qatar LNG strike (Mar 20, 2026) (Mar 20, 2026) ↑
- **[81]** CNBC: Oil prices fall 7%+ to ~$101.49/bbl after Trump announces 5-day strike postponement on Iran power plants (Mar 23, 2026) (Mar 23, 2026) ↑
- **[82]** AAA: US national average gasoline $3.942/gal (Mar 23, 2026) — approaching $4 for first time since 2022; California $5.53/gal, Hawaii $4.96/gal (Mar 23, 2026) ↑
- **[83]** Bloomberg: Trump delays Iran strikes citing productive talks — “major points of agreement”; 5-day pause on power plant strikes (Mar 23, 2026) (Mar 23, 2026) ↑
- **[84]** Al Jazeera liveblog: Iran denies negotiations, vows complete Hormuz closure if power plants struck (Mar 23, 2026) (Mar 23, 2026) ↑
- **[85]** Bloomberg: Goldman Sachs raises 2026 Brent to $85/bbl avg — “largest-ever oil supply shock on record,” surpassing 1973 OPEC embargo; cumulative loss >800M bbl; peak 17 mb/d disruption (Mar 23, 2026) (Mar 23, 2026) ↑
- **[86]** Al Jazeera: Iran approves Japanese ships for Hormuz transit via developing vetting system (Mar 21, 2026) (Mar 21, 2026) ↑
- **[87]** Haaretz: 20 US allies commit to safe passage through Hormuz in joint statement; France announces Operation Aspides with two frigates (Mar 21, 2026) (Mar 21, 2026) ↑
- **[88]** GlobalPetrolPrices: European diesel prices — EU weighted avg EUR 1.835/litre (Mar 16, 2026); Netherlands EUR 2.264/L highest; Malta EUR 1.210/L lowest; Spain +34.3% (Mar 16, 2026) ↑
- **[89]** JPMorgan / Citigroup oil price forecasts: JPM ~$60/bbl avg 2026 (disruption unlikely to persist); Citi $75/bbl Q1, $78/bbl Q2, $68/bbl Q3 2026 (Mar 23, 2026) (Mar 23, 2026) ↑
- **[90]** Bloomberg: Two Indian LPG carriers (*Jag Vasant* and *Pine Gas*) in transit through Strait of Hormuz — 92,600 tons LPG combined; Indian Navy coordination under Iran accord; vessels expected to reach India Mar 26–28 (Mar 23, 2026) ↑
- **[91]** Bloomberg: Supertanker hauling Iraqi crude crosses Strait of Hormuz with AIS transponder off — signals selective transit activity outside official Iranian-approved channels continuing (Mar 23, 2026) ↑
- **[92]** AAA Fuel Prices: US national average gasoline $3.956/gal (Mar 23, 2026) — 23rd consecutive daily increase; highest since August 2022; California $5.53/gal, Hawaii $4.96/gal (Mar 23, 2026) ↑
- **[93]** Sparta Commodities — Neil Crosby (Head of Research, Mar 23, 2026): “Each passing week simply must see market desperation rise”; “Physical crude markets still haven’t fully reacted to the scale of disruption.” — cited via CNBC Hormuz bottleneck coverage (Mar 23, 2026) ↑
- **[94]** Anadolu Agency: Iran collecting $2 million per-vessel fee for Hormuz transit, operated by IRGC; Iranian lawmaker Alaeddin Boroujerdi confirmed implementation; India, Pakistan, Iraq, Malaysia, China, Turkey in direct talks (Mar 23, 2026) ↑
- **[95]** Bloomberg: Zombie vessel *Jamal* posing as scrapped LNG carrier transits Hormuz — first known zombie LNG ship transit since blockade began (Mar 21, 2026) (Mar 21, 2026) ↑
- **[96]** Bloomberg: Zombie Aframax tanker *Nabiin* (built 2002, scrapped in Bangladesh ~5 years ago) confirmed exiting Hormuz into Gulf of Oman — second zombie ship in 3 days (Mar 23, 2026) (Mar 23, 2026) ↑
- **[97]** ICE Low Sulphur Gasoil Futures front-month: ~$1,290.50/tonne (Mar 23, 2026 — verify on ICE platform before trading) (Mar 23, 2026) ↑
- **[98]** CNBC: Kalshi/Polymarket odds — Hormuz traffic normalization 39% by end of April (down from ~80% earlier in month); 67% by June 1; market pricing prolonged partial disruption (Mar 24, 2026) (Mar 24, 2026) ↑
- **[99]** CNBC: Oil prices rebound — Brent ~$104.49/bbl (+4%), WTI ~$92.35/bbl (+4%) on Mar 24, recovering from Monday’s 11%+ selloff as market tentatively prices in ceasefire talks progress within Trump’s 5-day pause window (Mar 24, 2026) (Mar 24, 2026) ↑
- **[100]** CNBC: Oil prices fall on Trump signals of Iran talks despite Tehran denial — Brent $99.61/bbl (−4.67%), WTI $88.37 (−4.31%); first Brent close below $100 since the war began (Mar 25, 2026) (Mar 25, 2026) ↑
- **[101]** Al Jazeera: Iran says non-hostile ships can pass safely through Strait of Hormuz if coordinated with Iranian authorities; only 5 vessels transited Monday per AIS data; 15-point US ceasefire plan in Iranian hands; potential in-person talks in Pakistan as early as Fri Mar 27 (Mar 25, 2026) (Mar 25, 2026) ↑
- **[102]** Bloomberg: Iran keeps up missile strikes as Trump floats ceasefire plan — Iran strikes central Israel; Saudi Arabia intercepts drone over eastern province; fuel tank at Kuwait Airport set ablaze; Iran FM denies any direct negotiations (Mar 25, 2026) (Mar 25, 2026) ↑
- **[103]** AAA Fuel Gauge Report: US national average — Regular $3.983/gal, Mid-Grade $4.498/gal, Premium $4.864/gal, Diesel $5.366/gal (Mar 25, 2026) (Mar 25, 2026) ↑